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By Shankkar Aiyar

Some day theorists of economics and practical politicians will regard this as a case study. For now India is basking in the splendid glory of serendipity. When the Congress came to power waving "Congress ka haath aam aadmi ke saath", the promise was dismissed as a mere slogan. When P. Chidambaram announced the biggest ever farm loan waiver in Budget 2008, it was described as poor economics and bankrupt politics. When social sector expenditure was ramped up, it was cynically dubbed "vote-bank economics". Almost silent and unnoticed was the phenomenon of growing consumption riding pent-up demand created by the pouring of moolah into the hinterlands. So when the global economy keeled over in September 2008, India along with the rest of the credit-gobbling Western world assumed the worst. India too trembled in the aftershocks of the financial quake that brought Wall Street to a grinding halt. And the Indian economy did tank; GDP figures for the quarter ending December 2008 slid to 5.8 per cent from the highs of 9 per cent.

We now know that the Indian economy was hit but insured. Rarely ever before in the history of the democracy has there been such a fine alignment of Congress's electoral politics and Keynesian economics. Sure, there is no denying the intervention by the Government—in creating liquidity and in slashing excise duties—but that was akin to a surgical strike. The post-meltdown stimulus was less than 1 per cent of GDP. The debate about "stimulus exit" echoing on Mint Street and in industry chambers is just idle chatter. The real stimulus came pre-meltdown—including the Pay Commission arrears—and accounts for 5.8 per cent of the \$1 trillion-plus GDP. The war against recession was won on the back of a strong domestic economy, on rural resurgence. The rural spend by the Government translated into income and consumption at the individual level driving sales—whether it is mobile phone sales or white goods. The centre of economic activity for all those who care to notice was shifting from metros to the hinterland. Political derisking by the Congress in its quest for electoral insurance led to geographical derisking of the economy.

Not surprisingly, business confidence rebooted as early as April 2009. Anand Mahindra, who challenged conventional wisdom and launched the Xylo in the midst of gloom, said parts of the Indian economy that are driven essentially by rural con-

6.1%
2009-10
(Q1)

“The green shoots are now finally taking root. In the next two to three years, our economy will resume the growth rate of 9 per cent of the pre-downturn period.”

PRANAB MUKHERJEE, Finance Minister

19.95%

Food Price Inflation in the first week of December 2009, the highest this year.

Rs 80,500 crore

Portfolio investment in stocks by Foreign Institutional Investors, the highest ever.

Rs 72,000 crore

Worth of loans to farmers were written off, benefiting 4 crore of them.

*Q1: first quarter; Q2: second quarter; Q3: third quarter; Q4: fourth quarter

All is
well
moments

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